

THE SESSION · POST-CLOSE READ

Steady Into the *Print*

Headline inflation held at 3.7% and the market-implied odds of a September rate increase firmed, yet the index tape closed within a quarter of a percent of unchanged. The Dividend Strategy added 0.51%; the Growth Portfolio gave back 0.72% as gold and the crypto-linked equities cooled.

S&P 500 ▼ 0.04%

NASDAQ ▼ 0.06%

DOW ▼ 0.21%

VIX 15.39

BRENT ▼ \$87

DIVIDEND STRATEGY

▼ TRAILED DVY · BEAT SPY

+0.51%

1-DAY

FCI		+0.51%
DVY		+0.52%
SPY		+0.02%

YTD +23.18% vs DVY +18.71% · SPY +12.92%

GROWTH PORTFOLIO

▼ TRAILED IUSG

-0.72%

1-DAY

FCI		-0.72%
IUSG		-0.06%

YTD +23.80% vs IUSG +13.14%

THE SESSION

The inflation print landed firm, the odds of a September rate increase firmed with it, and the index tape barely moved. The S&P 500 closed -0.04% at 7,674.55, the Nasdaq Composite -0.06% at 26,135.63, and the Dow -0.21% at 53,464.59, ending a three-session advance. July headline PCE rose 0.2% on the month and held at 3.7% year over year, a tenth above consensus on both counts; core PCE rose 0.2% and 3.3%, exactly where the street had it. Personal income advanced 0.4% and spending 0.2%, but real consumption was essentially flat. The market-implied probability of a September increase moved to roughly 44% on the print. Against that, the Dividend Strategy returned 0.51%, a single basis point behind DVY at 0.52% and forty-nine ahead of SPY at 0.02%. The Growth Portfolio finished at -0.72% against IUSG at -0.06%. The VIX settled at 15.39.

The composition matters more than the headline. What moved were the two expressions most levered to the rate path. Gold eased toward \$4,600 an ounce after a five-session run, and AEM gave back 4.54%. The crypto-linked equities handed back a meaningful share of Tuesday's advance — MARA -5.16%, HOOD -3.17%, HUT -0.58% — even as bitcoin held near the \$80,000 level it cleared Tuesday for the first time in over three months, and our spot ETF sleeve barely registered the difference at IBIT -0.58% and ETHA +0.27%. Toll Brothers eased 1.79% on the same rate logic. The Dividend Strategy went the other way on an industrial-and-materials bid: STLD +2.09%, TEL +1.77%, FAST +1.67%, LMT +1.62%, GD +1.45%, CAT +1.28%. Two sleeves, one macro input, opposite signs. That is the design.

One inflation reading does not settle a trend, and one quarterly report does not settle an ownership case.

Nvidia reports after the close, with consensus near \$92 billion in revenue and roughly \$2.09 in earnings per share; the shares eased 1.46% into it while semiconductor performance dispersed around them — QCOM +1.97% and MRVL +1.97% against LRCX -0.57% and NXPI -0.71%. Brent eased a third consecutive session toward \$87 a barrel, which lifted the midstream complex and carried OKE to a 3.49% gain. Chair Warsh delivers his first Jackson Hole keynote Friday morning,

and the FOMC meets September 15 and 16. None of that changes what we own. Year to date the Dividend Strategy stands at +23.18% against DVY at +18.71%, a spread of 4.47 points over the stronger of its two benchmarks; the Growth Portfolio stands at +23.80% against SPY at +12.92%, a spread of 10.88 points. Those margins were not built in sessions like this one. They were built by holding through them.

FCI HOLDINGS · NOTABLE MOVERS

WINNERS

OKE +3.49%

GROWTH

Led the portfolio without a fresh company disclosure. The midstream complex firmed as crude eased for a third session; ONEOK raised its 2026 guidance earlier in the month on record natural-gas-liquids throughput.

FTNT +2.53%

GROWTH

The security group firmed ahead of CrowdStrike's after-close report, one of three AI-adjacent prints scheduled for Wednesday evening alongside Nvidia and Salesforce.

DECLINERS

MARA -5.16%

GROWTH

Handed back a large share of Tuesday's advance as the listed mining complex cooled. Bitcoin held near the \$80,000 level it cleared Tuesday for the first time in over three months.

AEM -4.54%

GROWTH

Gold eased toward \$4,600 an ounce, snapping a three-session advance after headline PCE printed above consensus and September rate-hike odds firmed.

STLD +2.09%

DIVIDEND

Steel and the broader metals complex extended their August advance. No company-specific disclosure; the move tracked the group.

QCOM +1.97%

DIVIDEND

Semiconductor performance dispersed sharply into the Nvidia print, and Qualcomm sat on the constructive side of it.

MRVL +1.97%

GROWTH

Extended Tuesday's recovery ahead of its own quarterly report later this week.

HOOD -3.17%

GROWTH

Retraced part of Tuesday's 8.17% advance with the rest of the crypto-linked complex. No company disclosure on the session.

TOL -1.79%

GROWTH

Homebuilders eased as the firmer inflation read pushed the market-implied probability of a September rate increase higher.

ABT -1.75%

DIVIDEND

Gave ground without a company-specific catalyst, in a session where health-care names drifted against the industrial and materials bid.

HOLDINGS NEWS

ONEOK carried the portfolio without news of its own. The 3.49% gain came on no company disclosure. The underlying case was set earlier in the month, when ONEOK raised full-year 2026 guidance for the second time this year on record natural-gas-liquids raw feed throughput, lifting adjusted EBITDA guidance to a \$8.2–\$8.5 billion range and net income guidance to a \$3.41–\$3.79 billion range. The company also holds a quarterly dividend of \$1.07 per share and has contracted natural gas supply into data-center load. Wednesday's move looks like the market marking that guidance rather than reacting to anything new.

Nvidia's fiscal second quarter lands after the bell. Consensus sits near \$92.2 billion in revenue and \$2.09 in earnings per share for the quarter ended July 26, with data-center revenue the line that will carry the reaction. CrowdStrike and Salesforce report the same evening. We hold Nvidia as one of fifty-two positions, and we will read the result the way we read every result: as one quarter of evidence in a multi-year ownership case, not as a verdict on it.

YEAR-TO-DATE STANDING

DIVIDEND STRATEGY

+23.18%

vs DVY +18.71% / SPY +12.92%

Spread vs DVY (lead benchmark) +4.47 pts

GROWTH PORTFOLIO

+23.80%

vs IUSG +13.14%

Spread vs SPY +10.88 pts